2 Wheeler Loan

Document title	**Product approval document – Two wheeler loans**
Document type	**Product Approval Document**
Business vertical	Rural
Product in existence since	**June 2011**
Current portfolio outstanding	**INR 1,205 mn**
Estimated peak outstanding proposed	**INR 2,000 mn +(INR 50 mn for trade advance facility)**
Current portfolio snapshot	**Parameters** / **Current Performance** / **Benchmark as per last PAD** **30 DPD+** / **0.21%** / **5%** **Revenue / ANR** / **19.5%** / **19.5%** **GWO / ANR** / **0.64%** / **7.0%** **NCL / ANR** / **0.37%** / **5.0%**
Product definition as per governance framework	**Mature & Stable**
Month of approval & implementation	**January 2015**
Month for next review	**December 2016**
Mid-term review month	December 2015 The review will include portfolio review, review of customer selection and acceptance criteria, and sample review of audit reports. Annual review to be done by CRO & CEO.
Name of the owner of the document	**Manish Odeka, Sr. VP – Risk**

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Level	Name	Designation	Date & Sign
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Approved by	Anindo Mukherjee	Head – Integrated Risk Management – FFH	
Approved by	Shantanu Mitra	CEO & MD – FICC	
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Approved by	Rakesh Makkar	EVP & Business Head	
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Recommended by	Manish Odeka	Sr. VP – Risk	
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Executive Summary

As part of FICC's expansion and market penetration strategy in rural segment, Two-wheeler as a product has been spearheading the growth and identified as one of the key potential growth drivers in secured offering. In the existing secured products, the two wheeler product was approved by ROC in June 2011, with a provision of any modifications to be approved by CRO & CEO. However, the same has been successfully running for the last two years and has performed well within the desired portfolio benchmarks as per the approved parameters.

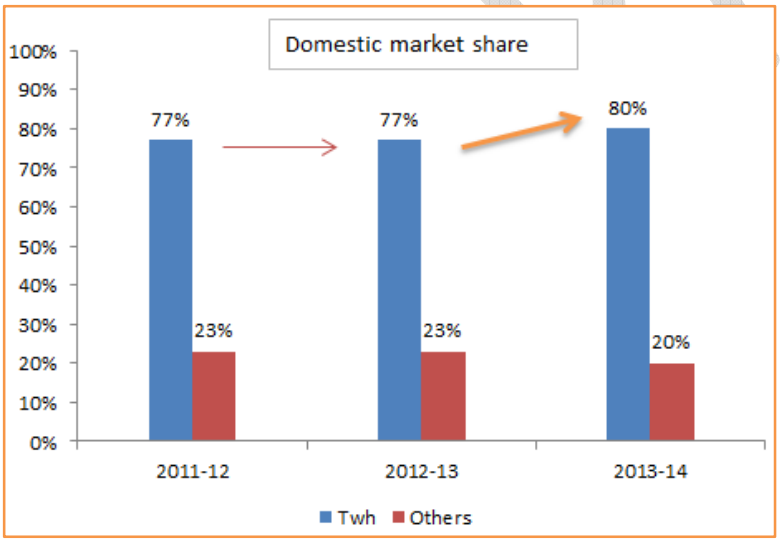
Market outlook

India is world's second largest two wheeler manufacturer, the largest three wheeler market, the second largest tractor manufacturer in the world, the fourth largest car market and fifth largest commercial vehicle manufacturer in the world.

Auto and its ancillary industry is one of the key sectors in the Indian economy.

The auto industry can be broadly divided in four sub sectors:

a) Passenger Vehicles / Four Wheelers (4W)
b) Two wheelers (2W)
c) Commercial vehicles and
d) Three wheelers (3W).



Two-wheelers being the most popular means of personal transport, alone account for about 80% of the total automobile production in India in FY 2013-14, while passenger vehicles (PVs) account for over 14% of the sales. It has shown significant growth in the last 5 years as can be seen in terms of total market share.

The two-wheeler market has emerged as the most vibrant and transforming segment of the overall Indian automobile industry, witnessing an unprecedented growth. Rising rural demand and fuel efficiency are among the major factors boosting the growth in the market.

The Indian two-wheeler market possesses a significant potential, and is anticipated to grow at a CAGR of around 11% to reach 17.8 Million Units by FY 2015-end basis the fundamental growth drivers as mentioned below

- ✓ Expected steady GDP growth,
- ✓ The entry of new players in the industry
- ✓ Multitude of new model/variant launches
- ✓ Moderate two wheeler penetration levels,
- ✓ Favorable demographic profile,
- ✓ Favorable government initiatives,
- ✓ Improving road connectivity in the rural segment
- ✓ Abundant harvest & good monsoon
- ✓ Under developed public transport system
- ✓ Utility quotient of a 2W, ,
- ✓ Growing distribution reach,
- ✓ Cheaper ownership costs on a relative basis are expected to be some of the other

Considering the above and basis a positive macro level outlook and government initiative it is likely that rural market will have unprecedented growth in the coming years.

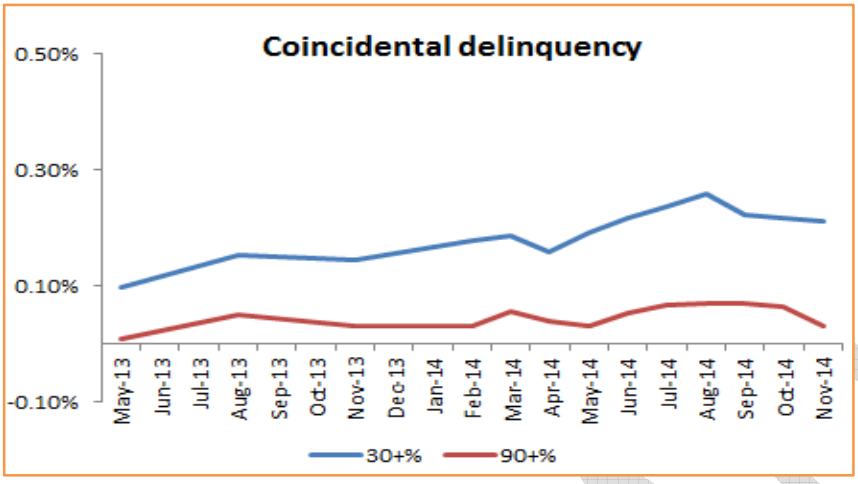
Key milestones

H2, 2011	• Two-wheeler loans launched in June 2011 and the 1st case got booked in Sankeshwar branch from the state of Karnataka. • Branch based underwriting with focus on select geographic areas.
H1 2012	• New policy changes implemented to cater agricultural & allied sources of income and also clubbing of income of co-applicants. • Achieved 100mio in the month of March 2012.
H2 2012	• 1st time achieved the milestone of 1000 accounts in July 2012.
H1 2013	• Achieved INR 500mio in the month of April 2013.
H2 2013	• Crossed the milestone of 3000 accounts in the month of Oct 2013. • Attain portfolio size of INR 750 mn in November 2013. • Test program launched to consider agricultural income & allied income
H1 2014	• Policy for higher LTV on select models and inclusion of profiles like agri-labour class, auto driver, prospects staying in rented accommodation is introduced.
H2 2014	• Cash flow assessment methodology rationalized in July 2014. • Attain portfolio size of INR 1000 mn in October 2014. • Highest ever sales of 6000 units in October 2014.

TEMPLATE

Portfolio performance indictors

Delinquency trends



30+ delinquencies are faring better than the estimated plan.

No significant increase in 90+ has also been observed and is trending better vs. plan.

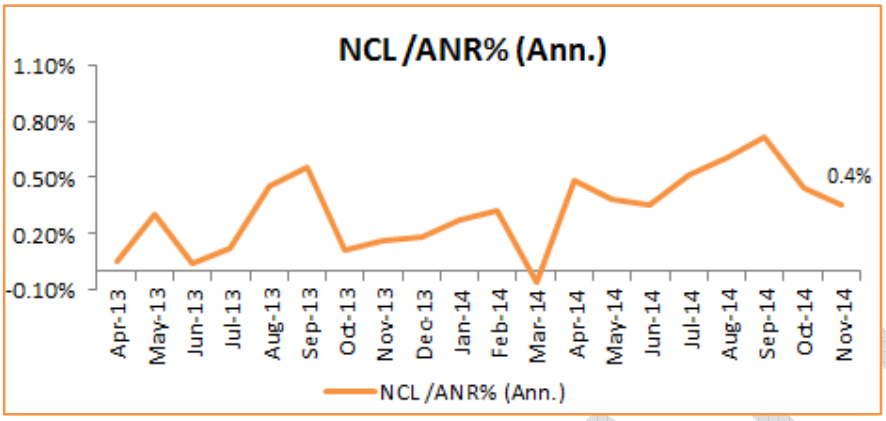
It is also to be noted that the above delinquency includes death cases too which are insured under the group life insurance cover we provide along each loan. These death claims are received by us in due time from insurance companies and reduce our loss and delinquent exposure.

Vintage analysis of 30+ DPD%

Booking Mth	MoB			
	3	6	9	12
Apr-13	0.00%	0.10%	0.59%	0.22%
May-13	0.00%	0.07%	0.47%	0.19%
Jun-13	0.08%	0.08%	0.00%	0.32%
Jul-13	0.07%	0.33%	0.22%	0.72%
Aug-13	0.00%	0.00%	0.29%	0.55%
Sep-13	0.07%	0.06%	0.30%	0.43%
Oct-13	0.06%	0.12%	0.35%	0.61%
Nov-13	0.04%	0.11%	0.36%	0.36%
Dec-13	0.06%	0.14%	0.20%	
Jan-14	0.04%	0.28%	0.24%	
Feb-14	0.00%	0.21%	0.34%	
Mar-14	0.00%	0.00%		
Apr-14	0.04%	0.19%		
May-14	0.00%	0.18%		
Jun-14	0.00%			
Jul-14	0.04%			
Aug-14	0.05%			

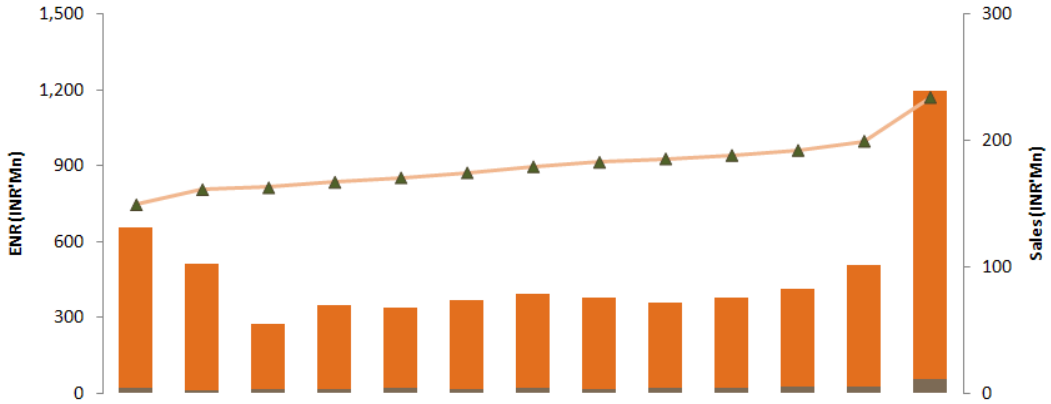
The booking over the period of last 21 months has not shown any irregular trend or significant rise and maintained a stable outlook so far.

Loss rates



In last 6 months though there was little spike in NCL, however currently the same is well under control.

Sales & ENR performance



	Oct-13	Nov-13	Dec-13	Jan-14	Feb-14	Mar-14	Apr-14	May-14	Jun-14	Jul-14	Aug-14	Sep-14	Oct-14
New	126.9	99.5	51.6	66.7	64.0	70.8	74.9	71.9	68.4	71.1	78.0	96.1	229.3
Existing	4.2	2.5	2.9	3.3	3.6	3.2	3.8	3.4	3.6	4.1	4.5	4.9	10.6
ENR	747	807	814	836	853	873	897	915	928	942	962	998	1,170

Customer selection, eligibility & acceptance criteria

Customer selection criteria

Criteria	Two wheeler
Target Market	Salaried & Self Employed Individuals and other profiles as per the approved policy document.
Locations	All approved locations.
Brand & Asset	For purchase of **NEW** two-wheelers of approved TW Manufacturers / Models as per Society of Indian Automobile Manufacturer (SIAM). It will include all types of motor cycles, Scooters, Moped or Scooterette, both geared and gearless ranging from engine capacity between 50cc to 1500cc and operated through conventional & non-conventional fuel.
Minimum Loan Amount	INR 10,000/-
Maximum Loan Amount	INR 75,000/-
Minimum loan tenure	12 months
Maximum loan tenure	48 months
Effective ROI (illustrative)	As per the approved pricing policy as approved & governed by the in-country pricing principle & strategy (illustratively 24% - 30%)
Maximum Asset LTV	90%
Eligibility Criteria	90% of on road price (Assessment shall be done basis CFA / Income documents / Banking) or 100% of Ex-showroom Price whichever is higher.
Price of Vehicle	ORP – On Road Price as declared by the dealer on the Invoice will include the following: • Ex-showroom price of the vehicle as per proforma invoice • Life-time road tax • RTO Charges (if any) • Insurance premium for first year • Accessory or any other miscellaneous charges
Stability	1 day for owned house and minimum 1 year for non-owned house.
Phone requirement	Prepaid or Postpaid mobile or landline is mandatory at office or residence for the borrower
Profile exclusion / Reserved or Restricted profiles	As per the list and any other profiles as defined by the risk manager and above as specified and updated from time to time
Revenue fee & charges	As per the pricing policy as approved & governed by the in-country pricing principle & strategy
Repayment frequency and Mode	Monthly through equated monthly installment through cash & bank mode using sale & collect model

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Customer eligibility criteria

Parameters	Two Wheeler
Borrowers	Primary Applicant **OR** First Applicant + Co-applicant. However co-applicant requirement is voluntary
Minimum age at entry	21 years; minimum age can be 18 years subject to financial co-applicant being on the loan
Maximum age at maturity	65 years
Household Income requirement	INR 120,000/- per annum of minimum total household income
IscR (Installment to Surplus cash ratio)	IscR @ 70% minus expense contingency of 8% to the prospects
Address proof	As applicable and approved as per standard KYC list
Identity proof	As applicable and approved as per standard KYC list

Credit acceptance criteria

Parameters	Pre-sanction criteria
De-duplication check	To be conducted for all customers as applicable.
Credit bureau check (CIBIL / Others as applicable)	To be conducted for all customers as applicable.
Documentation	As applicable as per the approved credit policy document. To be executed in presence of FICC employee / representative on field / in branch premise.
Original documents	All documents collected to be verified against original by the representative of FICC mentioning the name and employee number of the certifying employee
Cash flow analysis (CFA)	To be evaluated and checked for all customers.
Personal Discussion (PD)	To be conducted for all customers as applicable

Credit policy deviation matrix

The approved delegation matrix will be followed. The highest approving authority for anything is at CPUH & CRO jointly. The detailed deviation grid which will be comprised of various aspects basis modality of the case will be within the contours of the maximum limits as defined and covered under product approval document and as mentioned in the approved policy document.

Collateral Management

We propose to continue with all the approved manufacturers and their product offerings whose engine capacity can be between 50cc and 2000cc. The collateral can be operated using both conventional & non-conventional fuel as well. However, any new variant of the approved manufacturer needs to be approved at Credit Policy & Underwriting Head – CPUH.

Illustrative list of approved manufacturers:

- Hero Moto Corp. Ltd.(erstwhile Hero Honda)
- Honda Motorcycle & Scooter India ltd. (HMSIL)

- TVS motor company Ltd
- Bajaj Auto Ltd
- India Yamaha Motor Pvt. Ltd
- Suzuki Motorcycle India Pvt. Ltd
- Royal Enfield (Unit of Eicher Ltd)
- Mahindra Two Wheelers Ltd
- Vespa scooters India Ltd (Piaggio)

Collateral documentation

The collateral asset (only new two wheelers) will be hypothecated in favour of FICC, lien would be marked & charge needs to be created at RTO.

The below mentioned documents are the illustrative list of documents that needs to be collected

- Copy of Final Invoice,
- Insurance Policy and Registration certificate with FICC lien is required post disbursal.
- Proforma invoice with FICC lien marked is required pre disbursal (exception under book & wait cases)

Out of the above few documents are sometimes collected post disbursal and forms part of the same as post disbursal document (PDD). Temporary closure action of the business of respective branch will be initiated once the trigger is breached in the respective parameters as mentioned in the exposure level & performance trigger section.

Provisioning norms

The provisioning norms have been kept as that of the previous approved document and as mentioned below.

- Recognise NPA @ 90 DPD
- Provision of 10% @ 90 DPD.
- Write-off @ 120 DPD

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Loan disbursal and collections process

Loan Origination	Credit Appraisal	Disbursal	Collection
Origination process is carried out by the branch staffs. **Steps in loan sourcing** • Lead Generation through Marketing Activation campaigns / Customer References / Dealerships • Documents Gathering and Verification	Credit checks in the field are done by the risk resources at both branch & cluster level or above as applicable. • Original Document Verification. • Credit bureau check. • Cash flow analysis. • Credit verifications (e.g. CPV + Reference Checks + Track Record of existing loan as applicable) • Loan Sanction by risk resource.	Disbursal carried out to the Dealer Account post the below mentioned steps. • Discussion with customer or co-applicant at branch • Document signing and completion at any place either at branch or customer's place. • Biometric data capture. • Quality Checks as applicable. • Disbursal Order Generation at branch • Original KYC Check • Loan Booking & Fund transfer to Dealership.	Collection carried out at the doorstep of the customer across the villages. • Regular Collection at customer doorstep • Follow up for overdue cases • Cash deposit at branch

Proposed key changes since last approved document

No significant changes have been proposed through this document.

Legal recourse strategy

A standardized process for executing the dunning letter is followed to ensure accountability & transparency in managing the delinquent customers. The below mentioned process and steps has been adopted to ensure that the portfolio remains within the acceptable risk indicators as proposed.

Product	A	B	C	D	E	F
	Overdue demand letter (only for eligible loan account #s)		**Loan recall notice (LRN) (for eligible loan account #s)**	**Security Post Dated Cheque banking after 15 days of LRN issuance**	**Notice u/s 138 & court filing**	**Arbitration / repossession process**
	30+ DPD	60+ DPD				
Two Wheeler	FICC letter head	NA	LRN to be issued @ 60+ DPD	applicable cases	NA	Repossession

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However, any modification in the above legal process would lie with CPUH & CRO considering the dynamics of the market scenario and product performance and can vary accordingly.

Exposure levels and performance triggers

Program caps & performance triggers	Current Cap	Proposed Cap	Performance snapshot November 2014
Program exposure	INR 2,000 mn	INR 1,700 mn	INR 1,205 mn
<u>Performance indicators,</u>			
30 dpd + delinquency	5%	3.0%	0.21%
GWO/ANR (on rolling 3 months basis)	7%	5.0%	0.64%
NCL/ANR (on rolling 3 months basis)	5%	3.0%	0.37%
MOB wise delinquency (3 month average of 6 MOB 30+ delinquency	1.5%	1.0%	0.12%
Registration Certificate (PDD) outstanding:			
• > 90 days	10%	10%	7.5%
• > 180 days	5%	5%	2.53%

Action plan in case of trigger breach:

- Review with CPUH – Rural Risk in event of breach.
- Review with Chief Risk Officer in case of continuous three month breach.
- Action plan to be circulated with corrective actions.

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Key product financials

Key product financials for next 2 Year Plan			
Financials (mn) / Year	**2013-14**	**2014-15**	**2015-16**
Gross revenue	203	300	378
COF	76	107	130
Net Revenue	127	194	248
NCL	1	4	27
SAP	2	8	3
Disbursal	840	1,003	1,297
ENR (AUM)	874	1,112	1,397
ENR as % of Total	1.4%	1.3%	1.3%
ANR (AUM)	685	993	1,249
GII/ANR	26.0%	25.4%	25.0%
COF/ANR	11.0%	10.7%	10.4%
NIM/ANR	16.1%	15.9%	15.7%
Revenue/ANR	18.5%	19.5%	19.8%
NCL/ANR	0.2%	0.4%	2.1%
NCL+SAP/ANR	0.5%	1.1%	2.4%
Runoffs	463	766	1,012
Treasury benefit	6	-	-
Boarding Rate	26.2%	26.2%	25.8%

Capability & fitness parameters

The below mentioned parameters are the critical aspects which has helped us in scaling higher over the period of last 2 years.

- Branch business model : well established and wider reach through sale & collect model
- Skilled & focused manpower: regular training is conducted and continuous performance evaluation on periodic basis is conducted.
- Efficient collection strategy: sale & collect model helps in regular meeting with customer at any contact point and in turn also helps in addressing the issues and faster resolution. Also the collection process is strictly followed as per the laid down processes and norms as applicable.
- Legal process adherence: legal process is also in place where-ever applicable and the same is rigorously followed.
- Business run through only recommended and approved model: all locations are evaluated through stringent checks and summarized under business evaluation report (BER) which is needed to be approved by both business & risk functional head and multi-level audit checks are conducted on a periodic basis to ensure adherence.
- Stability in re-sale value: all assets are to be of approved class.

As far as fitness parameters is concerned we consider the below mentioned aspects played a critical role

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- Standardized collateral (only approved vehicles)
- Rigorous evaluation of branches before considering them as approved location through BER (Branch evaluation report).
- All vehicles models are needs to be vetted by Risk & Policy team.

Recommendation

With these changes as mentioned we recommend approval for the product program for another 24 months or till 31st December 2016 whichever is earlier.

We may need to run any test program basis market feedback and competition strategy which might arise due to ever changing market scenario within the review period hence recommended the same to be approved under the joint authority of CEO + CRO.

We also recommend that any modifications in the provisions mentioned to be approved under the joint authority of CEO + CRO as delegated by ROC.

Trade advance financing to two-wheeler dealers

Items	Assessment parameters
Customer Segment	• **Authorized two wheeler agency / dealerships**
Amount and tenor caps; end use	**Loan quantum** • Minimum INR 300,000 • Maximum INR 5 mn **Tenor** • Maximum 60 days **End use** • Purchase of two wheelers for stocking towards future sale
Interest Rates	As per pricing policy approved by Business Head & CRO
Fees / Commission	Fee grid duly approved by Product Head, will be circulated from time to time.
Method of Repayment / Amortization	• Amount of trade advance would need to be liquidated by way of finance amount of two wheeler cases financed by us and sourced through the dealer • Replenishment of trade advance can be done through multiple tranches up to

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Items	Assessment parameters
	the limit set for the dealer • Liquidation would be done on First in First out basis with the earliest disbursed tranche being liquidated first. Any unliquidated amount at the end of the 60 day tenor would need to be refunded by the dealer to us.
Mode of Repayment	• Liquidation through cases sourced through the agency / dealer • Cheque payment / Direct Debit / Electronic Clearing System

Credit policy deviation matrix

Sl #	Nature of deviation	Approval Authorities
1	Funding an amount in excess of INR 2.5 mn to any individual dealer	CRO
2	Trade advance limits (during peak season) in excess of eligible percentage of business with us, due to seasonal nature of business subject to: • Maximum of 120% of average business with us in last 3 months • Absolute cap of INR 5 mn per dealer	Credit Policy & Underwriting Head and Head – Sales & Product
3	Shortfall in average monthly total sales of dealer by up to 20 units per month subject to minimum 80 units per month	Credit Policy & Underwriting Head and Head – Sales & Product
4	Offering up to 20% in excess of dealer's eligibility subject to maximum cap of INR 5 mn per dealer	Credit Policy & Underwriting Head and Head – Sales & Product
5	Deviation on current ratio subject to minimum of 0.8	Credit Policy & Underwriting Head and Head – Sales & Product
6	Further disbursement to delinquent dealer up to 15 DPD	Credit Policy & Underwriting Head & Head – Sales & Product

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Sl #	Nature of deviation	Approval Authorities
7	Disbursement to dealer with documents pending for previous tranche disbursement Refund approval grid on account of excess received from dealer Line & Limit Expiry – Renewal request with documents as PDD Waiver of Guarantee- Part of account opening docs	Credit Policy & Underwriting Head
8	Revenue waivers with Business	Head – Sales & Product / Business Head
9	Principal waivers with Risk	Credit Policy & Underwriting Head / CRO
10	Any other deviation not specified	CRO

Customer eligibility norms

Items	Assessment parameters
Loan eligibility offering	**Experience** • Minimum 1 year in business (minimum 3 years in other business for new dealerships) **Checks and verifications** • Positive Contact Point Verification (CPV) • Positive reference from manufacturer • Positive bureau track record **Business volumes** • Minimum 10 units per month with FICC and 100 units per month on overall basis **Financial ratios (for trade advances above INR 1 million)** • Minimum current ratio of 1.0 • Positive cash profits • Positive net worth • Leverage not exceeding 10x • Not more than 5% decrease in turnover over previous year **Simplified offering for premium dealers (up to INR 3 million) based on:** - Dealing with us for 1 year

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Items	Assessment parameters
	- 30+ coincidental delinquency of our portfolio with the dealer to be < 4% - Minimum monthly sales volume of 300 units
Credit process	**Pre-approval documentation** - Request letter for trade advance facilities - Income proof , address proof - ID proof and photograph - Financials, where applicable **Post-approval documentation** - Trade advance agreement - Security Cheque **Verification** - CPV mandatory for all cases - Telephonic verification mandatory with manufacturer - FCU process as per program standards. **Credit bureau check** - Mandatory - Decision as per bureau policy approved by Chief Risk Officer

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Performance cap & triggers

Program caps & performance triggers	Current Trigger	Proposed Trigger	Performance snapshot Dec 2014
Program exposure	INR 250 million	INR 50 million	NIL
Performance indicator,			
30 dpd + delinquency %	1%	1%	Nil
NCL/ANR %	0.5%	0.5%	Nil